

TVAC Methodology Overview

Public Note

1. Purpose

TVAC (Tokenization Value-Add Calculator) is a structured decision-support framework for assessing whether tokenization is likely to create meaningful added value in a specific case.

Its purpose is not to promote tokenization as such, but to evaluate whether tokenization appears justified compared to a more conventional setup.

TVAC is designed to support early-stage and mid-stage decision-making by helping users distinguish between cases where tokenization appears likely to add real value, cases where the value proposition is weak or uncertain, and cases where tokenization may not be appropriate under the stated conditions.

TVAC is an informational methodology. It does not provide legal, tax, financial, or investment advice.

2. Core principle

TVAC is built around a simple but important question:

Does this specific tokenization design appear likely to create net added value relative to a credible conventional alternative?

The framework is based on the view that tokenization should not be evaluated on hype, general narratives, or technology preferences alone. It should be evaluated case by case, using a consistent methodology that considers both potential benefits and potential frictions.

3. Methodological approach

TVAC uses a fixed evaluation framework rather than open-ended AI output.

In practical terms, this means that each case is assessed through a defined methodological structure with predetermined evaluation dimensions, a controlled analytical logic, and a fixed report architecture.

AI is used as a bounded analytical component within that framework. It does not decide freely what the methodology is, what dimensions matter, or how the final output should be structured. Those elements are defined by TVAC.

This is why TVAC should be understood as a methodology-based evaluation system supported by AI, not as a generic prompt-generated opinion.

4. What TVAC evaluates

TVAC evaluates whether tokenization appears likely to improve the case when compared with a realistic non-tokenized baseline.

The assessment focuses on whether tokenization seems capable of contributing to areas such as new or stronger market opportunities, more efficient processes or operating models, lower friction across the lifecycle of the instrument or asset, better control, transparency, or risk handling, and whether these potential gains are outweighed by new costs, complexity, or risk.

Not every tokenization case is strong. In some cases, tokenization may be directionally interesting but economically weak. In other cases, it may create more burden than benefit. TVAC is explicitly designed to reflect that reality.

5. Inputs and case-based assessment

TVAC is a case-based methodology. The quality of the assessment depends on the quality and clarity of the case description and the structured information provided.

The framework evaluates the case as described by the user, including the proposed asset or instrument, investor context, market structure, operational model, jurisdictional setting, and relevant constraints.

Where relevant, TVAC identifies important assumptions, missing information, or areas of uncertainty that may affect the confidence of the evaluation.

TVAC does not treat all cases as equally mature or equally well specified. A vague or internally inconsistent case should not be interpreted with the same confidence as a carefully defined one.

6. Evaluation logic

TVAC applies a consistent analytical logic across cases.

At a high level, the methodology considers both value-creating drivers, meaning factors that may improve the attractiveness or feasibility of tokenization in the case, and burden-creating drivers, meaning factors that may introduce cost, complexity, implementation friction, or additional risk.

These considerations are brought together in an overall assessment of likely net added value.

The goal is not to create an illusion of false precision. The goal is to create a disciplined, repeatable, and decision-relevant evaluation that is more robust than intuition, trend-following, or purely promotional tokenization narratives.

7. Output

TVAC produces a structured written assessment designed to support professional decision-making.

Depending on the case, the output may include an overall conclusion, a structured explanation of the main value drivers and limiting factors, a discussion of major assumptions and uncertainties, and practical observations on what appears to strengthen or weaken the case.

The purpose of the output is not to "approve" a project, but to help users understand whether the tokenization logic appears strong, weak, conditional, or misaligned with the stated objectives.

8. Appropriate use

TVAC is intended for informational decision support in the evaluation of tokenization cases.

It is useful where a user wants a structured view on whether tokenization appears likely to create meaningful net value under the stated conditions.

TVAC should not be treated as legal advice, regulatory advice, financial advice, investment advice, a substitute for detailed execution planning, or a guarantee of commercial success.

Any real-world project still requires appropriate legal, regulatory, commercial, and technical validation by qualified professionals.

9. Bottom line

TVAC is based on the premise that tokenization should be evaluated critically, not assumed.

Its role is to provide a structured and method-governed assessment of whether a specific tokenization case appears likely to create real added value, and equally, to indicate when it may not.